digital banks. It is time India adopts digital banking and starts licensing digital banks.

End the Charade of Cooperative and Regional Rural Banking

India saw the establishment of lakhs of primary credit societies at the base of the cooperative banking system in the 1950s and 1960s. These societies were not banks. They existed to collect equity from borrowing members, collect deposits and get finance from the cooperative banking network to lend to members. Barring one or two states, these primary agriculture cooperative societies or PACS were unable to collect enough equity and deposits. Their loans also usually defaulted. The structure became sick soon enough. The government stepped in and provided equity and cheaper credit support, occasionally writing off defaulted loans and paying off the interest. The district-level cooperative structure was organized into a bank but with the restriction to lend only for crops. These district cooperative banks had some branches that worked more like intermediaries between them and PACS, which probably made some sense in the days of physical communication and transfer of money and credit.

Simultaneously, some cooperative banks developed in urban areas. As private banking was nationalized in the 1970s and 1980s, some private-sector entrepreneurs saw an opportunity in setting up private local banks in the name of urban cooperative banks. While the essence of a cooperative bank's governance structure is 'one member, one vote' irrespective of capital contribution, these banks were de facto managed in such a way that the real sponsor could exercise effective control despite formally having only one vote. Another class of cooperative banking arose in the form of primary land development banks or PLDBs, with a state structure as well. These PLDBs, again with a cooperative governance structure, were meant to provide land development and agriculture equipment financing. The Centre and states contributed to their equity capital by subscribing to their